Home Alone With Inflation (But No Wages)

TikTok investors are pretty bad, but so too are the economic grifters on Instagram.

One of my favorite bits of stupidity is about the movie *Home Alone*. It's a Christmas favorite, and gets heavy play during the holiday season. Kevin McCallister, played by Macaulay Culkin, accidentally gets left home alone by his parents in the mad holiday rush to the airport. At one point, he goes to the supermarket to buy a bag of assorted goods.

"*Home Alone* fans are shocked by a 264% increase in grocery prices since the movie was released," screamed an Instagram channel mistitled "Wealth."[161] That data is both accurate and misleading. It has no context, and purposefully leaves out the other half of the spending equation: Wages.

Someone had to earn that money for Kevin to spend, right? The McCallister's 1990 grocery list was $19.83 and by 2023, these exact items cost $72.28. So let's do the math on this: *Home Alone* was released in November 1990, and this Instagram post appeared in December 2023. Over that period, that basket of goods rose 264%, but over the same period, wages[162] increased 274%. Meaning, it was *cheaper* to go to the supermarket in 2023 than in 1990.

The asymmetry of showing rising prices while remaining silent on rising wages is another form of denominator blindness.

If *Home Alone* fans were shocked that grocery prices rose 264% since 1990, I imagine they would also be surprised to learn wages rose even more, 274%. But can you imagine their amazement to find out that the S&P 500 was up 2670% over the same period! That is 10x the price increases of these goods.

The people who make these arguments are either financially incompetent